

Charter of the Super Validator Accountability Committee

Objectives and Areas of Authority of the Super Validator Accountability Committee (SVAC)

- Purpose
 - Enforce guidance and agreements entered into by the network with its Super Validators to ensure the wellbeing of the Canton Network
- Scope
 - Review compliance with Super Validator operating requirements, approved CIPs, locking requirements, participation requirements, voting obligations, obligations relating to validator or participant approval, security requirements, other official network guidance and any other obligations relating to being an active Super Validator.
 - Request reasonable information from Super Validator operators as necessary to evaluate compliance with official network requirements.
 - Recommend governance actions, remediation plans, weight adjustments, suspensions, reinstatements, or other actions to the Tokenomics Committee, Canton Foundation Board, or other applicable governance body.
 - Recommend the adoption of additional guidance or clarifications in response to network conditions.
 - Adopt recusal rules, privacy guidelines, confidentiality requirements, evidentiary standards, and other procedures necessary to achieve its objectives.

Membership and Roles

- The SVAC will consist of:
 - Five regular voting members.
 - Two alternate voting members.
- Voting members and alternate voting members will be elected by the voting members of the Tokenomics Committee, subject to any applicable Canton Foundation governance requirements.
- SVAC eligibility is determined at the organization level. Nominees must be employees or other representatives of **active** Super Validators on the Canton Network **and** Canton Foundation Members in good standing. Nominees may self-nominate or may be nominated by another representative of a Canton Foundation member organization, provided the nominee accepts the nomination before being included in the election.
- An organization may replace its designated representative, subject to any applicable Tokenomics Committee election or approval requirements.
- Tokenomics Committee voting representatives and FAAC voting representatives may not serve as voting members or alternate voting members of the SVAC.
- The Tokenomics Committee will elect the Chair by vote from among the elected SVAC voting members. The Chair should be from a Canton Foundation Premier Member organization unless otherwise approved by the Tokenomics Committee. The Chair is not required to be a Canton Foundation Board member.
- The Chair, or a rotating facilitator designated by the Committee, will lead meetings, manage agendas, and track follow-ups.

Alternates

- Alternate voting members are assigned a priority order at the time they are elected.
- Alternate SVAC members may attend all SVAC meetings regardless of whether a voting member(s) is absent
- The priority order determines which alternate may vote when a regular voting member is absent or recused.
- If fewer than five regular voting members are present, either or both alternate voting members may vote depending on the number of absent regular voting members, selected in priority order.
- If a regular voting member or selected alternate voting member abstains from a vote, that member is still considered present, and the abstention does not trigger an additional alternate to vote.

- If a regular voting member is recused, an alternate voting member, if available, may participate in the vote in that member's place.

Observers and Guests

- General participants, observers, legal counsel, subject matter experts, Foundation staff, or other guests may attend SVAC meetings as permitted by the committee Chair.
- Participation as an observer or guest does not confer voting rights.
- The SVAC may enter closed sessions where necessary to discuss confidential, sensitive, privileged, or participant-specific compliance matters. Only voting and alternate members of the SVAC may be present during a closed session.

Meetings

- The SVAC will hold regular standing meetings as determined by the SVAC.
- Additional meetings may be scheduled by the Chair as needed for urgent reviews or time-sensitive matters.
- Meeting agendas should be circulated in advance where practical.
- Actions of the SVAC should generally proceed through:
 - o Proposal by a SVAC member as an agenda item for an upcoming meeting.
 - o Discussion of the topic in a SVAC meeting.
 - o Vote or documented consensus, as applicable.
- Topics may be discussed informally before a meeting, but decisions should be documented through the SVAC's formal process.
- Minutes of meetings shall be kept and shared with the Foundation Board of Directors.
- Meeting attendees, except for the minute taker, may not make recordings or use AI bots, transcribers, or minute takers, and meetings shall otherwise comply with the Canton Foundation AI Policy

Decision-Making

- The SVAC will strive for consensus where practical.
- If consensus is not possible, decisions will be made by majority vote of the present voting members with a minimum of 3.
- A quorum of at least three regular or alternate voting members must be present and non-recused for decisions to be made.
- If recusals prevent the SVAC from reaching quorum or otherwise make a decision impossible within a reasonable period of time, such as 30 days, the matter must be presented to the Canton Foundation Board or another appropriate governing body for resolution.
- All recommendations and decisions must be documented and shared with the appropriate governance body.

Asynchronous Votes

- Asynchronous votes may be requested by any voting member but requires the approval of the Chair.
- An asynchronous vote will conclude when sufficient votes are collected from eligible voting members to reach a majority, or at the ten day deadline specified when the vote is opened.
- Alternate voting members may vote asynchronously only if:
 - o A regular voting member is recused.
 - o A regular voting member is absent or unavailable for the entire time period of the asynchronous vote and the alternate is selected in priority order.
 - o There are fewer than five regular voting members serving on the SVAC due to resignation, removal, vacancy, or other inability to serve.
- The result of any asynchronous vote must be documented and reported to the SVAC.

Conflicts, Recusal, and Confidentiality

- SVAC members and alternates must disclose actual or potential conflicts of interest before deliberations.
- With the approval of the Board the SVAC may adopt additional recusal rules, privacy guidelines, confidentiality requirements, evidentiary standards, and procedures as necessary to carry out its responsibilities.
- Confidential or sensitive information received by the SVAC must be handled in accordance with applicable Canton Foundation policies and any SVAC procedures adopted for that purpose.
- All activities of the SVAC shall comply with the terms of the Canton Foundation Antitrust Policy and Checklist.

- Confidential milestone terms, commercial agreements, security information, and other sensitive materials will be shared with the SVAC only to the extent reasonably necessary for the Committee to perform its responsibilities.
- The Foundation, Board, contracting party, or other body that originally received or controls confidential information will remain the custodian of that information. Disclosure to the SVAC does not transfer ownership or authorize broader distribution.
- Where appropriate, the SVAC may provide a redacted summary, compliance certification, or recommendation without disclosing the underlying confidential information. Access to the underlying materials may be limited to non-recused voting members, alternates acting in place of a voting member, Foundation staff, legal counsel, or other specifically authorized reviewers.

Accountability and Transparency

- The SVAC will document all recommendations, decisions, votes, recusals, and material conflict disclosures.
- Recommendations should include the basis for the recommendation, the applicable guidance or requirement, and any relevant evidence or supporting analysis.
- The SVAC will share recommendations with the Tokenomics Committee, the Canton Foundation Board, or another applicable committee or governing body as appropriate.
- The SVAC should maintain enough transparency to support confidence in the enforcement process while protecting confidential, sensitive, privileged, or participant-specific information.

Working Groups

- The SVAC may form standing or ad hoc subordinate working groups to undertake work or make recommendations to the SVAC.
- Working groups do not have independent decision-making authority unless expressly delegated by the SVAC and permitted under applicable governance requirements.
- Any working group recommendation must be reviewed and approved by the SVAC before being treated as a SVAC recommendation.

Amendment

- This Charter may be amended by the Tokenomics Committee, subject to Board approval.